SOP-SC-009 Supplier Qualification and Incoming Inspection (Rev 5)

Aurora Nutraceuticals Inc. · Controlled document · For training and demonstration only

1. Purpose

This procedure (SOP-SC-009) describes how suppliers of materials and services are qualified, monitored and, when necessary, disqualified, and how incoming materials are inspected and released at Aurora Nutraceuticals Inc.

2. Supplier Categories

Critical suppliers provide active ingredients, primary packaging components in direct contact with the product, and contract laboratories. Major suppliers provide excipients, secondary packaging and calibration services. Minor suppliers provide materials and services with no impact on product quality.

3. Qualification

A critical supplier is approved only after an on-site audit by Quality Assurance with a satisfactory report, a signed quality agreement, and three consecutive lots that pass incoming inspection. A major supplier is approved after a completed supplier questionnaire and a satisfactory review of its certifications. Minor suppliers are approved by Purchasing without a quality assessment.

4. Monitoring

Critical suppliers are audited on site every 2 years. Major suppliers complete a requalification questionnaire every 3 years. The approved supplier list is reviewed annually by Quality Assurance and Purchasing, and the review is recorded on form F-009-03.

5. Incoming Inspection

5.1 Every delivery is placed in quarantine on receipt and released by Quality Control only after inspection and testing.

5.2 A certificate of analysis (COA) from the supplier is required for every lot of material; a delivery without a COA is rejected.

5.3 Active ingredients: an identity test is performed on every container of every lot. Full testing is performed on each lot unless a reduced testing plan has been approved after at least 10 consecutive conforming lots.

5.4 Excipients and packaging components are sampled according to ISO 2859-1, general inspection level II, with an acceptable quality limit of 1.0 (AQL 1.0) for critical defects.

6. Disqualification

A supplier is disqualified when two critical nonconformances are confirmed within any 12-month period, when a regulatory authority issues a warning letter concerning the supplied material, or when an audit identifies a critical finding that is not resolved within 90 days. A disqualified supplier is removed from the

approved supplier list and open purchase orders are cancelled.